EQUITY RESEARCH · INITIATION OF COVERAGE

Vulcan Materials Company

NYSE: VMC

The premium is the story. At 18.8x EV/EBITDA — its own five-year peak — Vulcan is priced for a cycle that is already turning.

Rating	Target Price	Current Price	Implied Downside
SELL	$240.55	$295.98	−18.7%

April 2026 · Analyst: Pham Xuan Thanh · This report is for academic purposes only

VMC

INITIATE: SELL

Three Reasons This Stock Is 19% Overvalued

Target $240.55 · Current $295.98 · 12-Month View

01 Valuation at Peak with No Margin for Error

VMC trades at 18.8x EV/EBITDA which above its own five-year historical average of 18.4x, and at the top of its historical trading range. That implies the market expects perpetual peak-cycle performance with no room for mean reversion. Our DCF base case of $232 and even our bull case of $252 both sit below the current price, meaning there is no scenario in our model that justifies buying at $296

02 The IIJA Tailwind Is Already in the Price

Infrastructure stimulus from the Infrastructure Investment and Jobs Act has driven aggregates pricing up 10% or more in consecutive years. Consensus already prices in this demand. As IIJA disbursements peak in 2025–26 and housing starts remain depressed under 6.5% mortgage rates, the incremental demand argument weakens materially from here.

03 Free Cash Flow Yield Is Below the Risk-Free Rate

VMC's FCF yield of 3.15
0% sits 100 basis points below the 10-year US Treasury at 4.0%. Equity investors are accepting less yield than a risk-free government bond for a cyclical, asset-heavy materials company. That is a fundamental mispricing that a valuation correction will eventually close.

Company at a Glance

Vulcan Materials — #2 U.S. Aggregates Producer — 25+ States — Sun Belt Core

Vulcan Materials is the second-largest producer of construction aggregates in the United States, operating over 400 quarries and distribution facilities across 25 states. The business is built around crushed stone, sand, and gravel raw materials with no viable substitutes in road, bridge, and commercial construction.

What makes Vulcan's competitive position durable is not scale alone but geography. Aggregates cannot be economically transported more than 50 miles by truck, which means each quarry holds an effectively irreplaceable local franchise. Permitting a new competing quarry in the same market takes seven to ten years on average, a barrier to entry that no amount of capital can shortcut. This structure allows Vulcan to maintain pricing discipline through downturns and expand margins as volumes recover.

The Sun Belt footprint is particularly relevant today. Texas, Florida, Georgia, and the Carolinas where Vulcan is most deeply positioned are the states receiving the largest Infrastructure Investment and Jobs Act allocations, providing a multi-year volume floor that is not available to competitors with more dispersed or Northern-weighted operations.

FY2025 Revenue

$7,941mm

LTM EBITDA

$2,276mm

EBITDA Margin

28.7%

EV / EBITDA

18.8x

Net Debt / EBITDA

1.8x

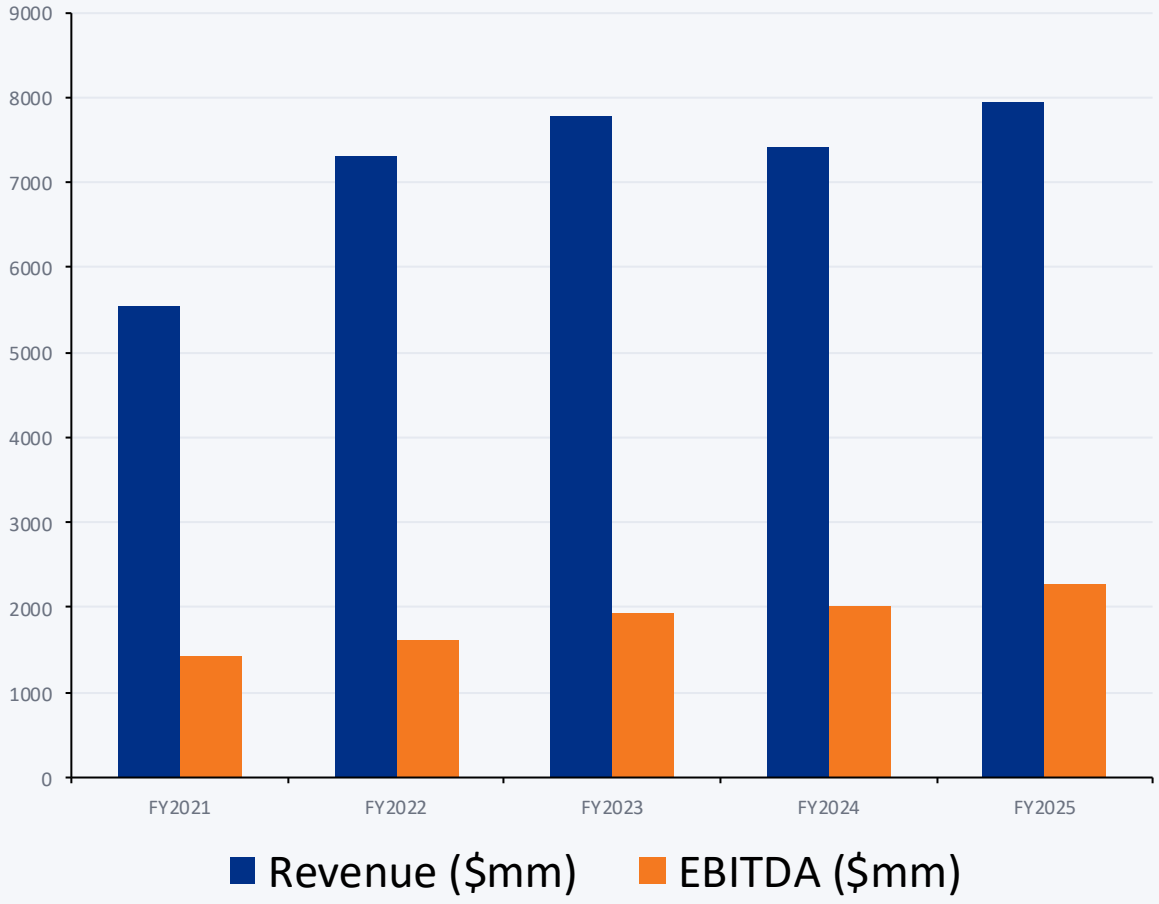
FCF Yield

3.0%

REVENUE MIX · FY2025

Financial Performance

Five-year track record — steady margin expansion, EBITDA CAGR of 12.2% — now approaching the ceiling



Source: Company filings, model estimates

KEY FINANCIAL METRICS

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue ($mm)	5,552	7,315	7,782	7,418	7,941
EBITDA ($mm)	1,435	1,617	1,939	2,028	2,276
EBITDA Margin	25.8%	22.1%	24.9%	27.3%	28.7%
Net Income ($mm)	671	576	933	912	1,077
Net Margin	12.1%	7.9%	12.0%	12.3%	13.6%
EV/EBITDA (×)	21.6x	16.7x	16.9x	18.2x	18.8x
Net Debt/EBITDA (×)	2.6x	2.4x	1.5x	2.4x	1.8x

EBITDA CAGR FY2021–25: **+12.2%**

Margin expanded 290bps over five years. The question is how much is left.

DCF Valuation — All Three Scenarios Point to Overvaluation

FCFF primary method · WACC 7.14% · Terminal growth 3.0% · Bear / Base / Bull all below current price

Bear Case (1.9% Rev CAGR)	Base Case (6.7% Rev CAGR)	Bull Case (8.7% Rev CAGR)	Current Market Price
$189.71	$232.09	$251.75	$295.98

Every scenario in the model — including the bull case — sits below the current market price. Vulcan must deliver above-bull performance just to justify today's valuation.

MODEL ASSUMPTIONS

Input	Value	Justification
Risk-Free Rate (Rf)	4.00%	10-Year US Treasury, normalised
Equity Risk Premium	5.50%	Damodaran US ERP, January 2026
Beta (3yr weekly vs SPY)	0.83	Regression output; aggregates are low-cyclicality
Cost of Equity (Ke)	8.565%	CAPM: Rf + β × ERP
WACC	7.14%	Mkt-cap weighted; Kd 4.63% pre-tax
Terminal Growth Rate	3.0%	Long-run nominal GDP (~2% real + 1% inflation)
Forecast Horizon	2026E–2030E	5-year explicit period, normalised to FY24–25

FCFF SENSITIVITY: WACC vs. TERMINAL GROWTH ($)

WACC \ Growth	2.5%	3.0%	3.5%	4.0%
6.5%	246	281	327	392
7.0%	215	242	276	321
7.14%	**190**	**232**	**252**	**272**
7.5%	168	190	211	235
8.0%	151	169	187	207

Shaded cell = base case · Orange = base/selected growth · Current price $295.98 above every cell in the table

Multiple Valuation — Peer & Historical Analysis

EV/EBITDA primary · 30% peer / 60% 5-year historical / 10% EV-Revenue · Weighted target $240.55

PEER MULTIPLE COMPARISON (LTM)

Ticker	Company	Revenue ($mm)	EBITDA ($mm)	EBITDA Margin	EV/EBITDA	EV/Revenue
VMC	Vulcan Materials (subject)	7,941	2,276	28.7%	18.8x	5.4x
MLM	Martin Marietta	6,150	2,130	35.0%	21.3x	7.4x
CRH	CRH plc	37,447	7,479	20.0%	12.1x	2.4x
EXP	Eagle Materials	2,261	765	34.0%	10.4x	3.5x
KNF	Knife River Corp	3,146	491	16.0%	12.2x	1.9x
Peer Median					**12.1x**	**2.4x**

TARGET PRICE DERIVATION

Method	Weight	Multiple	EBITDA/Rev Base	Implied Price
EV/EBITDA — Peer	30%	12.1×	$2,276mm	$179.68
EV/EBITDA — 5Y Hist.	60%	18.4×	$2,276mm	$289.15
EV/Revenue — Peer	10%	2.4×	$7,941mm	$113.86
Weighted (pre-adj.)	**100%**			**$223.77**
Qualitative Adj.	+7.5%	IIJA +5–10%, Moat +2–3%, Housing –3–5%		**$240.55**

VMC 5-YEAR HISTORICAL EV/EBITDA

Period	EBITDA ($mm)	EV/EBITDA
FY2021	1,435	21.6x
FY2022	1,617	16.7x
FY2023	1,939	16.9x
FY2024	2,028	18.2x
FY2025	2,276	18.8x
5-Year Avg	—	**18.4x**

PRICE TARGET

$240.55

12-month

IMPLIED DOWNSIDE

–18.7%

from $295.98

Note: Qualitative adj. reflects net of IIJA premium (+5–10%), pricing moat (+2–3%), housing slowdown (–3–5%). P/E cross-check ($159) exclude

Why the Market Is Wrong About VMC Right Now

The stock is not expensive because investors are irrational — it is expensive because a legitimate growth story has been fully priced and then some.

Priced for Perpetual Peak

18.8x EV/EBITDA equals VMC's own five-year historical average of 18.4x meaning the market assumes the company will sustain peak-cycle multiples indefinitely. History shows EV/EBITDA mean-reverts to 14–16x in mid-cycle conditions. A re-rating alone implies 15–20% downside, before any earnings risk.

FCF Yield Below the Risk-Free Rate

VMC generates approximately $1.1bn in free cash flow on a $39bn market cap, a 3.0% FCF yield. The 10-year US Treasury yields 4.0%. Rational equity investors should demand a premium above the risk-free rate for owning a cyclical materials company. They are currently accepting a discount.

The IIJA Catalyst Is Baked In

Street consensus already assumes 6–8% annual revenue growth through 2027, incorporating the $550bn IIJA spending program. There is no incremental upside from a catalyst that everyone has already modelled. The risk is that disbursements are slower or projects are cancelled — a one-sided asymmetry.

Residential Exposure Is Underappreciated

Approximately 25% of Vulcan's volumes flow into residential construction. With 30-year mortgage rates above 6.5% and housing starts at decade lows, this segment is under sustained pressure. Management's own guidance has repeatedly flagged residential as the key volume uncertainty, yet the current multiple builds in no margin for a prolonged housing slowdown.

Credit Profile — Strong Balance Sheet, But Not the Story

BBB+/Baa1 equivalent · Net Debt/EBITDA 1.8x · EBITDA/Interest 9.5x · Ample covenant headroom

Vulcan's credit profile is genuinely strong and is not in question. Net leverage of 1.8x sits well within investment-grade territory, interest coverage of 9.5x leaves ample cushion, and the company's $1.6bn undrawn revolving credit facility provides liquidity through any reasonable scenario. The credit analysis does not generate the SELL thesis — it clarifies that the overvaluation is an equity story, not a credit story. There is no near-term distress risk, and VMC will continue to pay and grow its dividend. The argument is simply that equity holders are overpaying for access to those cash flows.

CREDIT SCORECARD

Dimension	Assessment	Key Metric
Business Risk	Low (2/5)	Irreplaceable reserves; essential product; #2 US position
Financial Risk	Low-Moderate (2/5)	Net Debt/EBITDA 1.8x; Total Debt/EBITDA 1.9x
Interest Coverage	Strong (1/5)	EBITDA/Interest 9.5x; EBIT/Interest 6.4x
Liquidity	Strong (1/5)	$183mm cash + $1.6bn revolver; Current ratio 2.7x
Overall Credit	Investment Grade	BBB+/Baa1 equivalent; composite score 1.8/5

DOWNSIDE STRESS TEST

Scenario	Base	Mild Stress	Severe Stress
Revenue Change	—	–10%	–25%
EBITDA Margin Chg.	28.7%	–300bps	–700bps
Rate Change	—	+100bps	+200bps
Stressed EBITDA	$2,276mm	$1,834mm	$1,290mm
Net Debt/EBITDA	1.8x	2.3x	3.2x
EBITDA/Interest	9.5x	6.5x	3.9x
FCF ($mm)	$1,359	$974	$488
Covenant Breach?	No	No	No — Credit Holds

Key takeaway: Even in a severe recession scenario, VMC retains positive free cash flow and does not breach investment-grade covenants. The credit story is resilient. The SELL is purely a valuation call on the equity.

ESG Profile — Neutral-to-Positive Overall, Governance Is the Weak Spot

Overall 49/100 (C+) · Environmental B– · Social B · Governance D+ · Net: slight qualitative discount applied

Vulcan's ESG profile is best described as structurally adequate with one material weakness. The environmental score of 55.2 (B–) reflects credible progress on carbon intensity and water management — appropriate for a quarrying business operating in sensitive land-use environments. The social score of 61.0 (B) is anchored by community relations (87.7) which, for a company that requires long-term goodwill from local municipalities to maintain operating permits, is a genuine competitive asset.

The governance score of 21.0 (D+) is the standout concern. It has deteriorated eight points over the last two years and now ranks below the peer median. Weak governance introduces capital allocation risk — board oversight of M&A execution, compensation structure alignment, and strategic direction all carry a marginal risk premium when governance is this far below peer standards. In our qualitative adjustment, we applied a partial discount for governance risk, partially offset by the social and community score premium.

ESG PILLAR SCORES vs. PEERS

Pillar	VMC Score	Grade	Peer Median	Trend
Overall ESG	49.0	C+	52.0	Stable
Environmental	55.2	B–	58.0	Stable
Social	61.0	B	55.0	Improving
Governance	**21.0**	**D+**	35.0	**Deteriorating**
Controversies	68.2	B	72.0	Deteriorating

PEER ESG RANKING

Rank	Company	ESG Score
1st	CRH plc	84.2
2nd	CEMEX	81.9
3rd	VMC	**49.0 (C+)**

GOVERNANCE RISK — SCORE 21.0 / D+

Governance has declined 8 points over two years. At 21/100 it trails the peer median of 35.0 by a wide margin. Board oversight, compensation alignment

Conclusion

Vulcan Materials · NYSE: VMC · April 2026

Rating	Price Target	Implied Downside
SELL	**$240.55**	**−18.7%**

Vulcan Materials is a high-quality business durable local monopolies, essential product, expanding margins, and a proven management team. None of that is in dispute. The SELL recommendation reflects one thing only: the market is paying a price that assumes this quality continues to compound at peak-cycle rates indefinitely. Our DCF shows that even under an optimistic bull-case revenue trajectory, the stock is worth $252 — still below the current $296. The most straightforward explanation for the gap is that the IIJA demand story and the aggregates pricing cycle have been fully absorbed into the consensus price, leaving little room for positive surprise and meaningful room for negative revision as the cycle moderates.

RISKS TO OUR THESIS (UPSIDE)

- Accelerated IIJA disbursements drive aggregates volumes above the bull-case trajectory
- A resolution to the housing affordability impasse — rate cuts or supply-side reform — restores residential construction demand faster than expected
- VMC announces a transformative acquisition that resets the earnings base and justifies a higher sustained multiple
- Governance improvements — board refresh, enhanced shareholder rights — compress the ESG discount and attract ESG-mandate capital